

ADP guidance for employee pay advances

Automatic Data Processing (ADP) and Amazon Transportation Risk and Compliance (TRC) have received questions about how partners can provide pay advances to their employees, if they choose to do so, without creating audit defects or issues in ADP. Steps to do so include:

1. Check with Ogletree or your company's legal advisors to verify that pay advances are allowed by your company's state.
2. Both the physical pay to the employee and payroll deduction as the employee repays the advance have to be done on ADP. Giving the employee cash and deducting repayment out of ADP will create an audit defect.
3. The pay advance and the future deduction have to be equal. The employer is not allowed to profit off any pay advance that would be an audit defect.
4. Written permission to deduct repayment of the pay advance in ADP needs to be uploaded into WorkDocs, and it must contain signatures from the employee and partner agreeing to it prior to the pay advance.

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